

Narendra Kumar Gupta v. State of U.P. & Others

High Court of Judicature at Allahabad · Division Bench · 1 February 2024 · 2024:AHC:16724-DB · Writ-C No. 29622 of 2023 · The writ petition challenging the order dated 22.6.2023 (which held Rs. 4,48,028 payable) was disposed of. Finding that the balance due when the petitioner's earlier writ (Writ-C No. 2368 of 2007) was dismissed for non-prosecution on 21.3.2023 was only Rs. 32,664, that a conditional interim order had operated in the petitioner's favour and had been complied with, and that the interest-swollen demand of Rs. 4,48,028 was 'highly inflated' and did not appear justified, the Division Bench — as jointly agreed by the parties — provided that on the petitioner depositing Rs. 1,00,000 before respondent no.4 within three weeks it would be in full and final satisfaction of the claim, whereupon the entire proceedings would stand dropped; the petitioner was left free to apply for a fresh connection, to be considered in accordance with law.

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HEADNOTE

A demand inflated by interest cannot stand where an interim order had operated in the consumer's favour and had been complied with. Following a proceeding under Section 135 of the Electricity Act, 2003, the petitioner faced an assessment (Rs. 2,07,664) plus compounding fee; his Section 127 appeal was rejected and his earlier writ (Writ-C No. 2368 of 2007), in which a conditional interim order of 22.1.2007 had permitted a deposit of Rs. 1,50,000 against restoration of supply, was ultimately dismissed for non-prosecution on 21.3.2023 with only Rs. 32,664 then due. Relying on Clause 8.1(c)(ii) of the U.P. Electricity Supply Code, 2005 (interest at 16% per annum after 30 days from the assessment order), the department raised the balance to Rs. 4,48,028 and, by order dated 22.6.2023, held that sum payable; the petitioner challenged that order. The department did not dispute that only Rs. 32,664 was due at the dismissal of the earlier writ. The Division Bench held that, the interim order having operated in the petitioner's favour and its conditions having been complied with, the demand of Rs. 4,48,028 was 'highly inflated' and did not appear to be justified in any event. As jointly agreed, the Court disposed of the petition by directing that a deposit of Rs. 1,00,000 within three weeks would be in full and final satisfaction of the claim, upon which the entire proceedings would stand dropped, leaving the petitioner free to apply for a fresh connection to be considered in accordance with law.

FACTUAL SUMMARY

The petitioner, Narendra Kumar Gupta, had faced a proceeding under Section 135 of the Electricity Act, 2003, resulting in an assessment order of Rs. 2,07,664 together with Rs. 3.20 lakhs towards compounding fee (a total liability recorded elsewhere as Rs. 2,68,664). His appeal under Section 127 of the Electricity Act was rejected, and he then filed Writ-C No. 2368 of 2007, in which, by a conditional interim order dated 22.1.2007, he was permitted to deposit Rs. 1,50,000, upon which the department was directed to restore his electricity supply. That earlier writ petition was ultimately dismissed for non-prosecution on 21.3.2023, by which time the remaining amount due was Rs. 32,664. The department imposed interest at 16% per annum, relying on Clause 8.1(c)(ii) of the U.P. Electricity Supply Code, 2005, and claimed Rs. 4,48,028; by order dated 22.6.2023 (on the petitioner's representation dated 1.6.2023), respondent no.4 held that Rs. 4,48,028 was still payable. The petitioner filed the present writ (Writ-C No. 29622 of 2023) to quash that order, contending that only Rs. 32,664 was due and the enhanced demand was ex facie illegal and arbitrary. During the proceedings the Court, by interim order dated 1.12.2023, restrained coercive action and sought an explanation of the demand, and later noted the availability of a Government one-time-settlement scheme (Government Order dated 4.11.2023). The department conceded that only Rs. 32,664 was due at the dismissal of the earlier writ. The petition was disposed of by the Division Bench on 1.2.2024.

REUSABLE CONSTRUCTIONS

1. Where a conditional interim order operated in the consumer's favour during the pendency of an earlier writ and the consumer complied with its conditions, the outstanding balance is fixed at the figure due when that writ ended; a subsequent demand swollen by 16% interest under Clause 8.1(c)(ii) of the U.P. Electricity Supply Code, 2005 is highly inflated and not justified. ¶ ¶ 4 (order of 1.2.2024)
2. A writ challenging an inflated electricity demand may be disposed of by consent on a fixed sum in full and final satisfaction of the claim, upon deposit of which the entire proceedings stand dropped, with liberty to apply afresh for a connection. ¶ ¶ 5-6 (order of 1.2.2024)

INTERPLAY · UP-2005::8.1

OBITER

Interest under Clause 8.1(c)(ii) cannot inflate a balance fixed when the earlier writ was dismissed, where a complied-with interim order had operated in the consumer's favour

QUESTION

Where a proceeding under Section 135 of the Electricity Act, 2003 led to an assessment appealed under Section 127, and a conditional interim order in the consumer's earlier writ operated in his favour and was complied with, can the licensee inflate the balance due at the dismissal of that writ (Rs. 32,664) to Rs. 4,48,028 by charging 16% interest under Clause 8.1(c)(ii) of the U.P. Electricity Supply Code, 2005?

HOLDING

Prima facie no. The department did not dispute that only Rs. 32,664 was due when the earlier writ was dismissed for non-prosecution. Since a conditional interim order had operated in the petitioner's favour and its conditions had been complied with, the Division Bench held that the interest-swollen demand of Rs. 4,48,028 was 'highly inflated and does not appear to be justified in any event'. The Court did not conclusively adjudicate the interest computation under Clause 8.1(c)(ii); as jointly agreed by the parties, it disposed of the petition by providing that a deposit of Rs. 1,00,000 within three weeks would be in full and final satisfaction of the claim, whereupon the entire proceedings would stand dropped, with liberty to apply for a fresh connection. ¶ ¶ 3-5 (order of 1.2.2024)

EVIDENCE “The amount due at the time of dismissal of the writ petition was Rs. 32,664/-, therefore, demand of Rs. 4,48,028/- being made from the petitioner, is highly inflated and does not appear to be justified in any event” ¶ ¶ 4 (order of 1.2.2024)

EVIDENCE “placing reliance on Clause 8.1(c)(ii) of the U.P. Electricity Supply Code, 2005 which stipulates that interest @ 16% per annum would be chargeable after expiry of thirty days from the date of order of assessment” ¶ ¶ 3 (order of 1.2.2024)

EVIDENCE “we dispose of the instant petition by providing that in case the petitioner deposits rupees one lakh before respondent no. 4 within three weeks from today, it will be in full and final satisfaction of the claim against the petitioner. Upon deposit of the said amount, entire proceedings will stand dropped” ¶ ¶ 5 (order of 1.2.2024)

FLAG Record is an order-sheet; only the final order dated 1.2.2024 (Neutral Citation 2024:AHC:16724-DB) is paragraph-numbered — pins are its ¶ numbers. Disposition was by consent; the interest finding is a prima facie evaluation, not a conclusive adjudication.

PRINCIPLE TAGS

interest-cannot-inflate-frozen-balance-during-complied-interim-order Where an interim order operated in the consumer's favour and its conditions were complied with, a 16% interest demand under Clause 8.1(c)(ii) cannot swell the balance fixed at the dismissal of the earlier writ; the inflated demand is unjustified. ¶ ¶ 4 (order of 1.2.2024)

one-time-settlement-finality Writ disposed of by consent on a fixed sum (Rs. 1,00,000) in full and final satisfaction of the claim, upon deposit of which the entire proceedings stand dropped. ¶ ¶ 5-6 (order of 1.2.2024)

NOT DECIDED — NEGATIVE AUTHORITY

NOT DECIDED — WHETHER INTEREST AT 16% PER ANNUM UNDER CLAUSE 8.1(C)(II) OF THE U.P. ELECTRICITY SUPPLY CODE, 2005 WAS LEGALLY CHARGEABLE SO AS TO RAISE THE BALANCE FROM RS. 32,664 TO RS. 4,48,028

The Court found the demand 'highly inflated' and not justified 'in any event', but did not conclusively adjudicate the interest computation because the petition was disposed of by consent at Rs. 1,00,000 in full and final satisfaction. ¶ ¶ 3-5 (order of 1.2.2024)

RELATED CASES — SEE ALSO

SCJ-1266 — On the 16% interest theme — interest under Section 127(6) at 16% compounded semi-annually; here the department relied on Clause 8.1(c)(ii)'s 16% interest.

SCJ-055 — Interest as a corollary of retention of money — the counter-principle the department invoked, here found not to justify the inflated demand given the complied-with interim order.

SCJ-068 — One-time-settlement finality — a writ disposed of on a settled sum in full and final satisfaction, as here.

SCJ-1975 — Effect of dismissal of a writ for want of prosecution on the interim protection — the backdrop against which the surviving balance (Rs. 32,664) was fixed.

A jurisprudence extract prepared from the text of the judgment; not a substitute for the judgment, and to be verified against the original before use.